

Member ID: _____

Time: _____

Rank: _____



PAYROLL ACCOUNTING (125)

NATIONAL 2025

Multiple Choice & Matching Section:

Multiple Choice (20 @ 2 points each) _____ (40 points)

Matching (10 @ 2 points each) _____ (20 points)

Short Answer (9 @ 2 points each) _____ (18 points)

Production Portion:

Job 1: Unemployment Taxes (17 @ 2 points each) _____ (34 points)

Job 2: Payroll Register (29 @ 1 point each) _____ (29 points)

Job 3: Journalizing (50 @ 1 point each) _____ (50 points)

TOTAL POINTS _____ **(191 points)**

Test Time: 60 minutes

General Instructions

You have been hired as a Payroll Clerk and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals
- Assume employees earn an overtime rate at 1.5 times their hourly rate for any hours worked over 40 in a week unless otherwise instructed
- All time calculations are rounded to the nearest quarter hour
- Use 6.2% for Social Security Tax on the first \$118,500 in wages
- Use 1.45% for Medicare Tax for all wages
- Use 5.4% for State Unemployment Tax and 0.8% (\$7,000 ceiling) for Federal Unemployment Tax
- Assume that no employee has accumulated earnings in excess of the Social Security Tax, SUTA, or FUTA base unless otherwise indicated.

The test is divided into two parts, and you **MUST** complete both parts. You will have 60 minutes to complete your work.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to complete.bpa.org.
2. Click on the Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Application Knowledge

Complete the questions in the rest of this test booklet by filling in the PDF.

Multiple Choice

Identify the letter of the choice that best completes the statement or answers the question.

1. Earnings put into tax deferred retirement plans are subject to _____.
 - A. Federal Income tax
 - B. Social Security tax
 - C. State Income tax
 - D. Both a and c
2. Lynn is paid \$52,000 per year and is paid biweekly. She pays federal tax (7.0%), state tax (5.0%), Social Security tax (6.2%), and Medicare tax (1.45%). What will her gross pay be for one pay period?
 - A. \$1,000.00
 - B. \$2,000.00
 - C. \$1,733.33
 - D. \$1,083.33
3. Patrick's employer withheld \$4,245 from his paycheck for federal taxes for the year. After calculating his tax liability, he discovers he will only have to pay \$3,211 this year. Patrick will end up _____.
 - A. receiving a tax refund in the amount of \$1,034
 - B. receiving a tax refund in the amount of \$3,211
 - C. paying an additional \$1,034 in federal taxes
 - D. paying an additional \$3, 211 in federal taxes
4. When filling out a tax return, adjusted gross income is calculated by taking the _____ and subtracting certain allowable amounts.
 - A. total Social Security tax withheld
 - B. total Medicare tax withheld
 - C. total income
 - D. total tips
5. Jamie makes \$12.35 an hour and was upset when she learned she has to work 8 hours on a holiday. She was excited to learn, however, that she would be paid double-time. How much more did Jamie make working on a holiday versus the regular overtime rate?
 - A. \$197.60
 - B. \$148.20
 - C. \$49.40
 - D. \$98.80
6. One of the newest laws put in place is designed to expand health insurance coverage for Americans working in companies with 50+ employees. This act is the _____.
 - A. Americans with Disabilities Act
 - B. Affordable Health Insurance Act
 - C. Family Medical Leave Act
 - D. Affordable Care Act

7. The act passed by Congress in 1938 that sets several guidelines including minimum wage amount, overtime rate, and work limits for minors is the
 - A. Equal Employment Opportunity Act
 - B. Federal Equality Act
 - C. Equal Pay and Employment Act
 - D. Fair Labor Standard Act
8. The *only* taxes that both the employee and employer pay are the _____.
 - A. SUTA and FUTA
 - B. Social Security and Medicare Taxes
 - C. SUTA, FUTA, Social Security and Medicare Taxes
 - D. Federal and State Taxes
9. FICA defines all of the following as wages *except* _____.
 - A. year-end bonuses
 - B. standby payments
 - C. total cash tips of \$15 received by a tipped employee in May
 - D. first six months of sick pay
10. The journal entry to deposit FICA taxes and federal income taxes withheld involves all of the following accounts *except* _____.
 - A. payroll taxes
 - B. Employees FIT payable
 - C. FICA taxes payable
 - D. cash
11. Tipped employees who report monthly tips are _____.
 - A. not subject to income tax on these tips
 - B. only taxed on half of these tips
 - C. added to their regular pay and taxed fully
 - D. only subject to income taxes when they are above \$100
12. The tips received by a tipped employee are less than \$5.12 of the minimum hourly tip credit rate. The maximum permissible tip credit is _____.
 - A. the amount of tips actually received by the employee
 - B. \$5.12 an hour
 - C. \$30 a month
 - D. 50 % of the employee's minimum wage
13. Included under the definition of employees for FUTA purposes are _____.
 - A. independent contractors
 - B. insurance agents paid solely on commission
 - C. officers of a corporation
 - D. members of a partnership

14. A company has total earnings of \$17,560 for the pay period. Assuming no employee is exempt from any taxes and no tax bases have been reached, how much would that company's payroll taxes be?
- A. \$2,432.06
 - B. \$243.20
 - C. \$24,320.60
 - D. Not enough information to calculate
15. When paying the state unemployment tax, which account is credited?
- A. Unemployment Tax Payable - Federal
 - B. Unemployment Tax Payable - State
 - C. Cash
 - D. Payroll Tax Expense
16. Which of the following are tax deferred withholdings?
- A. Social Security and Medicare
 - B. Garnishments
 - C. 401K Contributions
 - D. Employee portion of SUTA Taxes
17. Schedule B of Form 941 is used by _____.
- A. monthly depositors
 - B. bi-weekly depositors
 - C. self-employed persons
 - D. only corporations with high payrolls
18. The form showing total wages, tips and other compensation is the _____.
- A. Form 1040
 - B. Form 941
 - C. Form W-2
 - D. Form 940
19. The Federal Tax Deposit Coupon that accompanies the unemployment tax deposit is _____.
- A. Form 940
 - B. Form 941
 - C. Form 1040
 - D. Form 8109
20. All of the following are types of withholding allowances, *except* _____.
- A. elderly allowance
 - B. dependent allowance
 - C. personal allowance
 - D. special additional allowance for single person with one job

Matching: Match the definition from the text box with the term listed below.

1. _____ Form 1099
2. _____ Personal Allowance
3. _____ Backup Withholding
4. _____ Periodic Inventory
5. _____ Roth IRA
6. _____ Standard Deduction
7. _____ Pretax Salary Deductions
8. _____ Form 1096
9. _____ Form 940
10. _____ Perpetual Inventory

- A. A merchandise inventory determined by keeping a continuous record of increases, decreases and balance on hand
- B. A merchandise inventory determined by counting, weighing, or measuring items of merchandise on hand
- C. Annual nondeductible contributions of up to \$5,500
- D. Annual summary and transmittal of U.S. information returns
- E. \$3,900 deduction in computing taxable income
- F. Withholdings from gross pay that reduce the amount of pay subject to federal income tax
- G. Form used to calculate a business' annual FUTA tax
- H. Amount of money used to reduce an individual's adjust gross income to taxable income
- I. Withhold federal income taxes of 28% of payments made
- J. Form used primarily to report the many various types of income besides salaries, wages, and tips

Short Answer:

1. Andre Jones is a salaried employee with an agreement with his employer that he will get paid \$2,800 bi-weekly for a 35-hour work week. He also gets paid overtime for any hours worked over 40 hours per week, but nothing for the hours worked between 35 and 40 hours. If Andre works 43.5 hours and 44.5 hours respectively for the bi-weekly pay period, answer the following questions regarding this pay period.

Regular bi-weekly pay	\$ _____
Hourly Rate	\$ _____
Overtime Hourly Rate	\$ _____
Overtime Earnings	\$ _____
Total Earnings	\$ _____

2. Alice Jones earns a salary plus bonus commission on sales and is paid bi-weekly. Her regular salary is \$905 per week. She earns an extra 4.5% on all net sales over \$4,500 per pay period. During this bi-weekly pay period she had the following sales and merchandise returns.

Sales	\$ 8,275	Sales Returns	\$ 625
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Answer the following questions regarding Alice's gross pay for this biweekly pay period.

Regular Salary	\$ _____
Sales Subject to Bonus	\$ _____
Bonus Earnings	\$ _____
Total Earnings	\$ _____

JOB 1: Unemployment Taxes (34 Points)

Dressage Corporation has six employees that are all paid each week. Two of them get paid \$1,045 per week, two of them get paid \$677 per week, and two get paid \$429 per week. Calculate FUTA and SUTA for each of the following payrolls, assuming FUTA is calculated on the first \$7,000 of wages for the year and SUTA is calculated on the first \$8,500 of wages for the year.

Payroll #	SUTA Liability	FUTA Liability
January 7 th - 1 st Payroll	\$ _____	\$ _____
February 19 th – 7 th Payroll	\$ _____	\$ _____
April 10 th - 14 th Payroll	\$ _____	\$ _____

Record the journal entry for the employer's Social Security, Medicare, FUTA, and SUTA liabilities for the 7th Payroll only.

Date	Account Title	Debit	Credit

JOB 2: PAYROLL REGISTER (29 Points)

Complete the Payroll Register. Regular and overtime earnings have already been figured for you as well as the Federal Income Tax. Total the register.

Emp #	Earnings			Fed Inc Tax	SS Tax	Med Tax	Health Ins	Total Deductions	Net Pay
	Reg.	OT	Total						
1	746.25	115.00		82.00			45.00		
2	521.35			42.00			45.00		
3	647.56			63.00			45.00		
4	312.25	81.73		30.00			25.00		
Totals									

JOB 3: JOURNALIZING THE PAYROLL (50 Points)

Journalize the following transactions. Use the General Journal provided.

January 15. Paid cash for semi-monthly payroll, \$5,261.68 (total payroll, \$6518.22, less deductions: employee income tax, \$409.00; social security tax, \$403.21; Medicare tax, \$94.33; health insurance premiums, \$300.00, United Way donations, \$50.00). Check No. 1118

January 15: Recorded employer payroll taxes for the pay period. Memorandum 265.

January 15: Paid cash for liability for employee income tax, \$818.00; social security tax, \$1570.92, and Medicare tax, \$348.92. Check No. 1119

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January 31: Paid cash for state unemployment tax liability for quarter ended December 31, \$256.33.
Check No. 1225

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